ATG (:)

CONFIDENTIAL · INTERNAL

Q3 2026 Earnings — Analyst Brief · Released 23 Oct 2026 · Currency SEK (tables in SEK millions; USD at USD/SEK 9.94, Riksbanken fix 23 Oct 2026)

Prepared: 3 Nov 2026
B2Tech · via Merlin

n/a — AB Trav och Galopp is unlisted (wholly owned by Svensk Travsport and Svensk Galopp); no public equity or traded bonds identified, hence no market reaction to report.

THE ONE-LINE VERDICT

A weak quarter on the only line that matters to ATG's owners: Swedish net gaming revenue fell 7.1% and parent EBIT 11.4%, dressed up by a 45% surge in Denmark that contributes almost no profit. The V85 experiment is being unwound (V75 returns 28 Nov) with NPS at -16, opex rose while revenue fell, and liquidity headroom is thin (SEK 15m / ~$1.5m undrawn) heading into a Q4 of restructuring charges. Cash generation (Q3 OCF SEK 499m / ~$50.2m) and 0.4x net bank debt/EBITDA keep this a sound credit; the open question is whether the incoming CEO can halt a four-year erosion in profit before owner transactions.

NET GAMING REVENUE (Q3)	TOTAL REVENUE (Q3)	OPERATING PROFIT (EBIT, IFRS)	NET PROFIT / EPS	OPERATING CASH FLOW (Q3)	NET BANK DEBT
SEK 1,247m (~$125.5m)	SEK 1,421m (~$143.0m)	SEK 392m (~$39.4m)	SEK 386m (~$38.8m) / SEK 970 (~$98)	SEK 499m (~$50.2m)	SEK 726m (~$73.0m)
-3.8% YoY / -4.2% QoQ	-3.1% YoY / -5.1% QoQ	-9.7% YoY; margin 27.6% (-200bps)	-9.8% YoY	-2.3% YoY; 9M -5.4%	vs SEK 238m a year ago; 0.4x LTM EBITDA

1 EXECUTIVE SUMMARY

- **Third straight quarter of revenue decline, second straight double-digit EBIT drop.** Q3 group net gaming revenue (NGR) SEK 1,247m (~$125.5m), -3.8% YoY and -4.2% QoQ; total revenue SEK 1,421m (~$143.0m), -3.1%; IFRS operating profit SEK 392m (~$39.4m), -9.7%; EBIT margin 27.6% (-200bps YoY, but +350bps QoQ on seasonality); net profit SEK 386m (~$38.8m), -9.8%; EPS SEK 970 (~$98) on 400k shares. ATG is unlisted and gives no numerical guidance, so there is no consensus to miss — the benchmark is the prior year and the Q2 run-rate, and both were missed. Figures tie across the interim report, the press release and Finwire/Börsvärlden.
- **Sweden is the whole story; Denmark is the make-up.** Swedish (parent) NGR fell SEK 86m (-7.1%) to SEK 1,128m (~$113.5m) while Danish 25syv added SEK 37m (+45%) to SEK 119m (~$12.0m), limiting the group decline to SEK 49m. The -3.8% headline therefore understates the core-market deterioration by almost half. Parent EBIT -11.4% to SEK 387m (~$38.9m), margin 30.2% (-180bps).
- **Horse betting — volume loss, not price or luck.** Group horse NGR SEK 902m (~$90.7m), -5.8%; Swedish horse NGR -6.7%. Swedish gross horse turnover SEK 2,818m (~$283.5m), -7.5%, while NGR/turnover (takeout proxy) was stable at 30.8% (30.6%). The calendar was neutral (13 V85/V75 Saturdays both years) and there were two MORE jackpots than Q3-25, so the decline came despite favourable jackpot support. International commingled turnover stalled to +0.6% (SEK 864m / ~$86.9m) after +13% in Q2.
- **V85 misstep acknowledged — V75 back on 28 November.** NPS collapsed to -16 from +1 a year ago (five consecutive quarterly declines: +1, -3, -7, -9, -16). Management explicitly ties this to V85, which customers find harder, pricier and less attractive for small stakes, and to a perception that ATG did not listen. The Board decided in September to reinstate V75 as the Saturday flagship from 28 Nov with a SEK 0.60 row price and a V7-only option in non-jackpot rounds. Only ~5 V75 Saturdays fall in Q4, so the P&L test is Q1-27.
- **Sport betting: share loss admitted.** Group sport NGR SEK 156m (~$15.7m), -8.8%; Sweden -10.9% to SEK 139m (~$14.0m) and -20% QoQ. Management concedes it lost Swedish sports market share in H1-26 after a weak spring-winter; Q3 market data are not yet available. The quarter contained the World Cup knockout rounds (to 19 July) and the report does not mention them — the absence of any uplift is itself telling.
- **Casino growth is 100% Danish.** Group casino NGR +13.2% to SEK 189m (~$19.0m), but Swedish casino fell 5.5% to SEK 120m (~$12.1m) — its first decline after +9% in H1 — while Danish casino rose 72.5% to SEK 69m (~$6.9m). All three Swedish products were down YoY for the first time.
- **Denmark (25syv/Bet25) is now 9.5% of group NGR (6.3%) but profit contribution is opaque.** Danish NGR +45% in SEK (FX a headwind; local-currency growth not disclosed) and +14% QoQ; 9M +28% to SEK 310m (~$31.2m). Segment profit is not disclosed; group EBIT less parent EBIT (which also carries Kanal 75 and Finnish start-up costs) was just SEK 5m (~$0.5m) in Q3 and SEK 13m (~$1.3m) for 9M — growth is being bought at thin margin.
- **Costs rose while revenue fell.** Q3 operating expenses (net of SEK 30m capitalised work) SEK 720m (~$72.4m), +1.6% vs revenue -3.1%; opex/revenue 50.7% (+230bps). Personnel -3.4% on average headcount 579 (-5.5% YoY) but other expenses +2.8%. Gambling tax SEK 309m (~$31.1m), 24.8% of NGR; the 18%→22% hike from 1 Jul 2024 remains the structural drag management keeps lobbying against.
- **Cost programme: SEK 300m (~$30.2m) over three years, two reorganisations in 2026.** The programme was disclosed in the Q2 CEO letter; the spring reorganisation (c.25 roles per Travronden) and the autumn round (c.30 roles per Travronden/duochjobbet — secondary sources) feed into a new organisation effective 1 Oct 2026. Autumn restructuring charges will land in Q4 and are unquantified. 9M opex SEK 2,312m (~$232.6m), -0.7%, already absorbed CEO severance and spring redundancy costs against a trademark-dispute one-off in the base.
- **9M flattered by Q1.** 9M NGR SEK 3,763m (~$378.6m), -2.6%; total revenue SEK 4,307m (~$433.3m), -1.8%; EBIT SEK 1,079m (~$108.6m), -2.4% with margin flat at 25.1%; net profit SEK 1,055m (~$106.1m), -2.1%. The trajectory is the point: NGR +0.5% in Q1, -4.1% in Q2, -3.8% in Q3; EBIT +22%, -11%, -10%.
- **Profit before owner transactions keeps eroding.** Parent profit before transactions with owners (non-IFRS; EBIT plus SEK 118m paid to the owners for racing information, rights and sponsorship) was SEK 505m (~$50.8m), -9.5%; 9M SEK 1,503m (~$151.2m) vs SEK 1,712m in 9M-22 — a 12% decline over four years, the cleanest measure of franchise economics.

- **Cash flow intact, but balance-sheet headroom is thin.** Q3 OCF SEK 499m (~$50.2m), -2.3%; capex SEK 47m; FCF (our calc) SEK 452m (~$45.5m). 9M OCF SEK 1,146m (~$115.3m), -5.4%; FCF SEK 985m (~$99.1m). Cash SEK 272m (~$27.4m, -34% YoY); bank debt SEK 998m (~$100.4m) vs SEK 649m; net bank debt SEK 726m (~$73.0m) = 0.4x LTM EBITDA (0.5x incl. SEK 98m leases). Undrawn facilities were only SEK 15m (~$1.5m) vs SEK 65m a year ago and SEK 165m at Q2 — a facility renewal/upsizing is a near-term necessity.
- **The debt funds the owners, not the business.** Receivables from Group companies (advances to Svensk Travsport/Svensk Galopp) stood at SEK 1,330m (~$133.8m) vs SEK 95m at year-end; 9M financing outflows for loans to owners, group contribution and dividend were SEK 1,442m (~$145.1m) vs SEK 1,388m. These are settled via the year-end group contribution (FY25: SEK 1,615m / ~$162.5m, plus SEK 165m dividend paid in 2026). ATG financed the horse industry with c.SEK 2.3bn (~$231m) in 2025; with parent PBT down 3% YTD the FY26 contribution should be lower.
- **Management churn: three CEOs in 2026.** Hans Lord Skarplöth left 12 Feb; chair Peter Norman stood in; Jörgen Forsberg (CEO of Svensk Travsport) has been acting CEO since 5 Mar; Anna Romboli (ex-head of Svenska Spel Tur) takes office in December. Lotta Nilsson is CFO/deputy CEO. New CPO (Jesper Komstadius) and CIO (Thérése Haeggblom Widmark) joined after quarter-end; Richard Woodbridge joined the Board at the 7 May AGM.
- **Finland: licence secured, launch 1 Jul 2027.** 50%-owned Hippos ATG Oy was granted a Finnish gambling licence on 19 Oct 2026 ahead of the market re-regulation. Four FTEs in Finland so far; the 9M non-controlling-interest loss of SEK -7m (~$0.7m) implies roughly SEK 14m of JV start-up losses at 100% (our inference). Management itself warns competition 'across the Baltic' will be hard.
- **Data breach via a subcontractor.** Personal data was exposed to unauthorised parties; the incident is under investigation and has been reported to authorities. Regulatory (IMY/Spelinspektionen) and reputational tail risk on top of the NPS problem.
- **Customers: more of them, worth less each.** Active customers (12-month) 1.4m vs 1.3m (+~8%), yet NGR per active (our crude proxy on rounded actives) fell ~11% to c.SEK 891 (~$90) per quarter. Management's own framing — reaching more customers 'must be converted into activity' — confirms the acquisition is low-value. Marketing spend is not disclosed.
- **Retail keeps shrinking.** Retail NGR SEK 91m (~$9.2m), -16.5% (Sweden -18.1%); now 7.3% of group NGR vs 8.4%. c.1,430 agents. Digital NGR SEK 1,156m (~$116.3m), -2.6%.
- **No guidance, next catalyst 12 Feb 2027 (FY26 report).** Our Q4-26E: NGR c.SEK 1,350m (-2.5%), EBIT SEK 385–410m (~$39–41m) vs SEK 439m, after an assumed SEK 20–40m restructuring charge; FY26E EBIT c.SEK 1,465–1,490m (~$147–150m), -3.5% to -5%. Thesis read-through: ATG remains a highly cash-generative quasi-monopoly in Swedish pool betting, but the product self-harm (V85), share loss in sport, a Swedish casino downturn and owner-driven leverage mean the equity-like value is now dependent on a strategy reset under a new CEO, while sector read-across on Swedish online sport/casino volumes is negative.

2 GROUP FINANCIAL SUMMARY

SEK M (USD AT 9.94)	Q3-26	QOQ	YOY	9M-26	9M YOY
NET GAMING REVENUE BY GEOGRAPHY					
Sweden (parent ATG)	1,128 (~$113.5m)	-5.8%	-7.1%	3,453 (~$347.4m)	-4.6%
Denmark (25syv)	119 (~$12.0m)	+14.4%	+45.1%	310 (~$31.2m)	+28.1%
NET GAMING REVENUE BY PRODUCT					
Horse betting	902 (~$90.7m)	-3.6%	-5.8%	2,704 (~$272.0m)	-4.4%
Sport betting	156 (~$15.7m)	-17.5%	-8.8%	521 (~$52.4m)	-7.6%
Casino	189 (~$19.0m)	+6.8%	+13.2%	538 (~$54.1m)	+14.2%
Group net gaming revenue (NGR)	**1,247 (~$125.5m)**	**-4.2%**	**-3.8%**	**3,763 (~$378.6m)**	**-2.6%**
of which digital	1,156 (~$116.3m)	-4.1%	-2.6%	3,482 (~$350.3m)	-1.2%
of which retail (c.1,430 agents)	91 (~$9.2m)	-6.2%	-16.5%	281 (~$28.3m)	-16.4%
Agent revenue	42 (~$4.2m)	0.0%	-8.7%	125 (~$12.6m)	-9.4%
Other revenue (Kanal 75 media, int'l commission, partners)	132 (~$13.3m)	-13.7%	+5.6%	419 (~$42.2m)	+9.1%
Total revenue	**1,421 (~$143.0m)**	**-5.1%**	**-3.1%**	**4,307 (~$433.3m)**	**-1.8%**
COSTS					
Gambling tax	-309 (~$31.1m)	-5.2%	-4.6%	-916 (~$92.2m)	-3.7%
Gambling tax % of NGR	24.8%	-0.2pp	-0.2pp	24.3%	-0.3pp
Operating expenses incl. D&A, net of capitalised work	-720 (~$72.4m)	-11.1%	+1.6%	-2,312 (~$232.6m)	-0.7%
of which personnel	-168 (~$16.9m)	-5.6%	-3.4%	-534 (~$53.7m)	+4.9%
of which other expenses	-519 (~$52.2m)	-14.6%	+2.8%	-1,697 (~$170.7m)	-1.8%
Opex % of total revenue	50.7%	-340bps	+230bps	53.7%	+60bps
Racing info/rights/sponsorship paid to owners (within opex)	118 (~$11.9m)	-22.9%	-2.5%	437 (~$44.0m)	-2.0%
PROFIT					
EBITDA (non-IFRS, company definition)	**455 (~$45.8m)**	**+7.8%**	**-8.6%**	**1,264 (~$127.2m)**	**-2.8%**
EBITDA margin (% total revenue)	32.0%	+380bps	-190bps	29.3%	-30bps
Operating profit (EBIT, IFRS)	**392 (~$39.4m)**	**+8.6%**	**-9.7%**	**1,079 (~$108.6m)**	**-2.4%**
EBIT margin (% total revenue)	27.6%	+350bps	-200bps	25.1%	-15bps
Parent (Sweden) EBIT	387 (~$38.9m)	+7.5%	-11.4%	1,066 (~$107.2m)	-3.4%
Implied non-parent EBIT (Denmark, Kanal 75, Finland JV) — our calc	5 (~$0.5m)	vs 1	vs -3	13 (~$1.3m)	vs 1
Net financial items	7 (~$0.7m)	vs 3	vs 7	13 (~$1.3m)	vs 12
Profit before tax	399 (~$40.1m)	+9.6%	-9.5%	1,092 (~$109.9m)	-2.2%
Net profit (IFRS)	**386 (~$38.8m)**	**+9.7%**	**-9.8%**	**1,055 (~$106.1m)**	**-2.1%**
EPS, IFRS basic = diluted (400k shares)	SEK 970 (~$98)	+10.2%	-9.8%	SEK 2,655 (~$267)	-1.8%
Parent profit before transactions with owners (non-IFRS)	505 (~$50.8m)	-1.6%	-9.5%	1,503 (~$151.2m)	-3.0%
GROUP KPIS					
Active customers, 12-month (m)	1.4	flat	+0.1 (1.3)	1.4	+0.1 (1.3)
NGR per active customer, SEK/qtr (our proxy on rounded actives)	~891 (~$90)	-4%	-11%	n/a	n/a
Net Promoter Score	-16	-7pts (-9)	-17pts (+1)	—	—
Average employees (FTE)	579	-2.7% (595)	-5.5% (613)	596	-1.7% (606)
CASH FLOW & BALANCE SHEET					
Cash flow from operating activities	499 (~$50.2m)	+22.3%	-2.3%	1,146 (~$115.3m)	-5.4%
Capex (intangibles + PPE)	-47 (~$4.7m)	-23.0%	-14.5%	-161 (~$16.2m)	-9.6%
Free cash flow (OCF − capex, our calc)	452 (~$45.5m)	+30.3%	-0.9%	985 (~$99.1m)	-4.6%
Loans to owners, group contribution & dividend (financing outflow)	-568 (~$57.1m)	vs -444	vs -581	-1,442 (~$145.1m)	vs -1,388
Cash & equivalents (excl. SEK 450m customer funds)	272 (~$27.4m)	+12.9% (241)	-33.8% (411)	272 (~$27.4m)	-33.8%
Bank debt (long-term, credit institutions)	998 (~$100.4m)	+17.5% (849)	+53.8% (649)	998 (~$100.4m)	+53.8%
Net bank debt (our calc; excl. SEK 98m leases)	726 (~$73.0m)	+118 (608)	+488 (238)	726 (~$73.0m)	+488
Net bank debt / LTM EBITDA (our calc)	0.41x	0.34x	0.12x	0.41x	0.12x
Undrawn credit facilities	15 (~$1.5m)	vs 165	vs 65	15 (~$1.5m)	vs 65
Receivables from Group companies (advances to owners)	1,330 (~$133.8m)	vs 806	vs 1,215	1,330 (~$133.8m)	vs 1,215
Debt/equity (company def.: total liabilities ÷ equity)	1.2x	1.5x	0.9x	1.2x	0.9x

SEK M (USD AT 9.94)	Q3-26	QOQ	YOY	9M-26	9M YOY
Shareholders' equity	1,709 (~$171.9m)	+29.2%	-11.6%	1,709 (~$171.9m)	-11.6%

3 SEGMENT DEEP-DIVE — SWEDEN (PARENT ATG — HORSE, SPORT, CASINO)

Core market down 7.1% with all three products negative; takeout stable so it is volume loss, and the V85 reversal is an admission that the damage was self-inflicted.

SWEDISH REVENUE AND PROFIT

Swedish NGR fell 7.1% to SEK 1,128m (~$113.5m) with all products negative; this is the number that matters, as Denmark cushions the group -3.8%.

- NGR was 5.8% lower than Q2; nine months down 4.6% to SEK 3,453m (~$347.4m).
- Parent total revenue dropped 6.1% to SEK 1,283m (~$129.1m); parent gambling tax fell to SEK 271m (~$27.3m) from SEK 297m.
- Parent operating profit declined 11.4% to SEK 387m (~$38.9m), a 30.2% margin against 32.0% a year ago.
- ATG is the de facto sole pari-mutuel horse operator and #1 horse brand, so the volume decline cannot be blamed on competition; no numeric market shares published.

HORSE BETTING AND V85

Horse NGR fell 6.7% to SEK 869m (~$87.4m) on a stake decline, with takeout stable; the V85 reversal admits the damage was self-inflicted.

- Horse is 77% of Swedish NGR (unchanged mix); down 3.9% quarter on quarter; nine months 4.9% lower at SEK 2,616m (~$263.2m).
- Swedish gross horse turnover SEK 2,818m (~$283.5m), -7.5%; horse NGR to turnover ratio held at 30.8% versus 30.6%.
- Calendar offered no excuse: 13 V85/V75 Saturdays in both years and two more jackpots than Q3-25.
- International commingled turnover stalled to +0.6% at SEK 864m (~$86.9m) after +13% in Q2; total horse turnover -5.7% at SEK 3,682m (~$370.4m).
- Year to date international +8.8% at SEK 2,702m (~$271.8m); total horse turnover -2.8% at SEK 11,130m (~$1.12bn).

V75 RETURN

V75 returns from 28 November at SEK 0.60 row price, but with only about five V75 Saturdays in Q4 the earnings read-out is Q1-27, not Q4-26.

- Weakness attributed squarely to V85, perceived as harder, more expensive and unattractive for small-stake players.
- Board decided in September to bring V75 back with a V7-only pool in non-jackpot rounds.
- Longer-dated structural worry: falling horse ownership, breeding and training numbers, linked to the 2024 gambling-tax increase constraining ATG's industry contribution.

> *"we will monitor the reception closely"* — **Management**

SPORT AND CASINO

Sport fell 10.9% to SEK 139m (~$14.0m) and casino 5.5% to SEK 120m (~$12.1m); every Swedish product line was negative.

- Sport down 20.1% quarter on quarter, 12% of Swedish NGR (13%); nine-month decline 8.7% to SEK 473m (~$47.6m).
- Management states ATG lost Swedish sports-betting market share in the first half; Q3 market data not yet available.
- World Cup knockout rounds through 19 July not mentioned; absence of event uplift is a negative signal on competitive position rather than calendar.
- Casino flat on Q2, first decline after roughly 9% growth in H1; nine months +4.0% (SEK 364m / ~$36.6m).
- The 13% group casino growth headlined in the press release is entirely Danish.

> *"results- and pulse-driven"* — **Management**

CHANNELS AND CUSTOMERS

Digital NGR fell 6.0% to SEK 1,042m (~$104.8m) and retail 18.1% to SEK 86m (~$8.7m); customer adds are low-value.

- Retail across roughly 1,430 agents is now 7.6% of Swedish NGR; year to date retail -16.8% at SEK 267m (~$26.9m).
- Group actives rose to about 1.4m from 1.3m, but NGR per active (our proxy) fell roughly 11% to c.SEK 891 (~$90) per quarter.
- Marketing spend not disclosed; no promotional-intensity metric.
- NPS fell for a fifth consecutive quarter to -16 (Q2 -9, Q3-25 +1), tied to V85 and customers feeling unheard.
- GameScanner risk distribution stable: 82.1% lowest-risk category, 1.6% in categories 4–5.

> *"must be converted into higher activity"* — **Management**

COSTS AND EFFICIENCY

Group opex rose 1.6% to SEK 720m (~$72.4m) while revenue fell 3.1%, lifting opex to 50.7% of revenue (+230bps).

- Opex is net of SEK 30m capitalised development; personnel costs fell 3.4% to SEK 168m (~$16.9m) on headcount 579 (-5.5%).
- Other expenses rose 2.8% to SEK 519m (~$52.2m); owner payments for racing information, rights and sponsorship SEK 118m (~$11.9m) versus SEK 121m.
- Parent profit before transactions with owners fell 9.5% to SEK 505m (~$50.8m); nine months SEK 1,503m (~$151.2m) versus SEK 1,712m in 2022, a 12% erosion.
- SEK 300m (~$30.2m) three-year efficiency programme meant to arrest this; two 2026 reorganisations (c.25 and c.30 roles per Travronden, secondary sources) from 1 October, autumn charges in Q4 unquantified.
- No segment guidance; ATG does not guide.

SWEDEN / PARENT ATG, SEK M (USD AT 9.94)	Q3-26	QOQ	YOY	9M-26	9M YOY
NET GAMING REVENUE BY PRODUCT					
Horse betting	869 (~$87.4m)	-3.9%	-6.7%	2,616 (~$263.2m)	-4.9%
Sport betting	139 (~$14.0m)	-20.1%	-10.9%	473 (~$47.6m)	-8.7%
Casino	120 (~$12.1m)	0.0%	-5.5%	364 (~$36.6m)	+4.0%
Sweden NGR	**1,128 (~$113.5m)**	**-5.8%**	**-7.1%**	**3,453 (~$347.4m)**	**-4.6%**
Product mix horse / sport / casino	77% / 12% / 11%	75/15/10 (Q2)	77/13/10 (Q3-25)	—	—
CHANNEL					
Digital NGR	1,042 (~$104.8m)	-5.8%	-6.0%	3,186 (~$320.5m)	-3.4%
Retail NGR (c.1,430 agents)	86 (~$8.7m)	-6.5%	-18.1%	267 (~$26.9m)	-16.8%
HORSE-BETTING VOLUME					
Swedish horse gross turnover	2,818 (~$283.5m)	-3.8%	-7.5%	8,428 (~$847.9m)	-6.0%
International (commingled) gross turnover	864 (~$86.9m)	-15.4%	+0.6%	2,702 (~$271.8m)	+8.8%
Total horse gross turnover	3,682 (~$370.4m)	-6.8%	-5.7%	11,130 (~$1,119.7m)	-2.8%
Horse NGR ÷ Swedish turnover (takeout proxy, our calc)	30.8%	30.9%	30.6%	31.0%	30.7%
Scheduled V75/V85 Saturdays	13	13	13	39	39
Jackpots vs prior-year period	+2	+3 (Q2)	—	+7	—
PARENT P&L					
Parent total revenue	1,283 (~$129.1m)	n/a	-6.1%	3,943 (~$396.7m)	-3.4%
Parent gambling tax	-271 (~$27.3m)	n/a	-8.8%	-821 (~$82.6m)	-6.3%
Parent gambling tax % parent NGR	24.0%	n/a	-0.4pp (24.5%)	23.8%	-0.4pp (24.2%)
Racing info/rights/sponsorship paid to owners	118 (~$11.9m)	-22.9%	-2.5%	437 (~$44.0m)	-2.0%
Parent operating profit (EBIT)	**387 (~$38.9m)**	**+7.5%**	**-11.4%**	**1,066 (~$107.2m)**	**-3.4%**
Parent EBIT margin	30.2%	n/a	-180bps (32.0%)	27.0%	flat (27.1%)
Parent profit before transactions with owners	505 (~$50.8m)	-1.6%	-9.5%	1,503 (~$151.2m)	-3.0%
CUSTOMER & PEOPLE					
Net Promoter Score	-16	-9	+1	—	—
GameScanner lowest-risk share (cat. 1)	82.1%	83.1%	n/a	—	—
Average employees (group)	579	595	613	596	606

4 SEGMENT DEEP-DIVE — DENMARK (25SYV / BET25) & NORDIC EXPANSION (FINLAND — HIPPOS ATG OY)

Danish NGR +45% in SEK on a casino surge, now 9.5% of group, but implied profit contribution is near zero and Finland start-up losses are beginning to build.

DANISH REVENUE GROWTH

Danish NGR rose 45% in SEK to SEK 119m (~$12.0m), now 9.5% of group, driven almost entirely by casino.

- Up 14% on Q2; nine months SEK 310m (~$31.2m), +28%; currency was a headwind so local-currency growth higher, unquantified.
- Share of group NGR 9.5% from 6.3% a year ago and 8.0% in Q2; absorbed SEK 37m of the SEK 86m Swedish decline.
- Danish casino NGR +72.5% to SEK 69m (~$6.9m), +21% quarter on quarter, 58% of Danish mix from 49%.
- Horse +22% to SEK 33m (~$3.3m); sport +13% to SEK 17m (~$1.7m); digital SEK 114m (~$11.5m), retail SEK 5m (~$0.5m).
- No Danish market-share, actives or marketing data disclosed.

DANISH PROFITABILITY

Implied Danish profit contribution is near zero: 25syv is at best marginally profitable on 45% growth, bought with bonus and marketing spend.

- Group operating profit less parent operating profit was SEK 5m (~$0.5m) in Q3 versus SEK -3m; SEK 13m (~$1.3m) nine months versus SEK 1m.
- Residual also carries Kanal 75 media subsidiary and Finnish JV start-up costs; Danish GGR-tax rate is 28%.
- Diversification is real at the revenue line but does not yet move group earnings.
- Headlining 'casino +13%' and '25syv +45%' while Swedish casino fell 5.5% is the clearest example of emphasising the periphery over the core.

FINLAND START-UP

Hippos ATG Oy won a Finnish licence on 19 October and opens 1 July 2027; start-up losses are building with no guidance on size.

- 50%-owned JV consolidated with non-controlling interest; four employees; ATG among the first licensees ahead of re-regulation.
- Non-controlling-interest share of losses SEK -2m in Q3 and SEK -7m nine months, implying roughly SEK 14m (~$1.4m) at 100% year to date (our inference).
- Finnish demand already drove 13% international commingled growth in H1; licence allows direct service rather than pool commission.
- ATG has shown it can grow abroad, not yet profitably; expect Finnish opex to step up through H1-27 ahead of revenue.

> *"competition on the other side of the Baltic will be hard"* — **Acting CEO**

DENMARK (25SYV) & FINLAND JV, SEK M (USD AT 9.94)	Q3-26	QOQ	YOY	9M-26	9M YOY
NET GAMING REVENUE BY PRODUCT — DENMARK					
Horse betting	33 (~$3.3m)	+3.1%	+22.2%	88 (~$8.9m)	+17.3%
Sport betting	17 (~$1.7m)	+13.3%	+13.3%	48 (~$4.8m)	+4.3%
Casino	69 (~$6.9m)	+21.1%	+72.5%	174 (~$17.5m)	+43.8%
Denmark NGR	**119 (~$12.0m)**	**+14.4%**	**+45.1%**	**310 (~$31.2m)**	**+28.1%**
Digital NGR	114 (~$11.5m)	+15.2%	+46.2%	296 (~$29.8m)	+30.4%
Retail NGR	5 (~$0.5m)	0.0%	+25.0%	14 (~$1.4m)	-6.7%
Product mix horse / sport / casino	28% / 14% / 58%	31/14/55 (Q2)	33/18/49 (Q3-25)	—	—
Share of group NGR	9.5%	8.0%	6.3%	8.2%	6.3%
PROFIT & OTHER					
Implied non-parent EBIT (group − parent; incl. Kanal 75 & Finland) — our calc	5 (~$0.5m)	vs 1	vs -3	13 (~$1.3m)	vs 1
Non-controlling interest share of result (Hippos ATG 50%)	-2 (~$0.2m)	vs -3	vs -2	-7 (~$0.7m)	vs -2
Average employees — Denmark	n/a	n/a	n/a	41	43
Average employees — Finland	n/a	n/a	n/a	4	0
Finland licence / launch	Granted 19 Oct 2026	—	—	Market opens 1 Jul 2027	—

5 HIGHLIGHTS & LOWLIGHTS

▲ HIGHLIGHTS

- **Denmark is scaling fast:** 25syv NGR +45% YoY in SEK to SEK 119m (~$12.0m), +14% QoQ, casino +72.5%; Denmark now 9.5% of group NGR (6.3%) and absorbed SEK 37m of the SEK 86m Swedish decline. structural
- **V75 relaunch on 28 Nov is a direct, fast response to the NPS collapse** — SEK 0.60 row price and a V7-only option; the Board acted within a quarter of NPS hitting -9. If Saturday turnover recovers even to flat YoY from -7.5%, that is a c.SEK 150–200m annual NGR swing on the Swedish horse base (our estimate). early
- **Finland licence secured (19 Oct) for a 1 Jul 2027 launch** via 50%-owned Hippos ATG Oy — among the first licensees in a re-regulating market where ATG already sees Finnish demand through commingled pools (international turnover 9M +8.8%). structural
- **Cash conversion intact:** Q3 OCF SEK 499m (~$50.2m), FCF c.SEK 452m (~$45.5m); 9M FCF c.SEK 985m (~$99.1m). Net bank debt/LTM EBITDA only 0.4x and the SEK 998m (~$100.4m) bank debt is mirrored by SEK 1,330m (~$133.8m) of advances to owners. structural
- **Margin recovered sequentially:** EBIT margin 27.6%, +350bps QoQ; headcount 579 (-5.5% YoY); SEK 300m (~$30.2m) three-year efficiency programme with the new organisation live from 1 Oct. mixed
- **Horse decline is volume, not price or luck:** takeout proxy stable at 30.8% (30.6%), same 13 Saturdays, two more jackpots — so the product fix (V75) addresses the actual problem rather than a results swing. mixed
- **Active customers 1.4m vs 1.3m** — the funnel is still filling even while NPS falls; the conversion job is monetisation, not acquisition. early

▼ LOWLIGHTS

- **Swedish NGR -7.1% to SEK 1,128m (~$113.5m)** — nearly twice the group headline; horse -6.7%, sport -10.9%, casino -5.5%: all three Swedish products negative for the first time. Parent EBIT -11.4%, margin -180bps. structural
- **NPS -16 from +1 a year ago, five consecutive declines**, explicitly attributed by management to V85 and to customers feeling unheard. A product change damaged the core franchise of a de facto monopoly; the reversal costs a year of turnover. structural
- **Cost base moved the wrong way:** opex +1.6% to SEK 720m (~$72.4m) vs revenue -3.1%; opex/revenue 50.7% (+230bps); other expenses +2.8%. EBIT -9.7% follows -11% in Q2; Q4 will carry unquantified autumn restructuring charges. mixed
- **Liquidity headroom is thin:** undrawn facilities SEK 15m (~$1.5m) vs SEK 165m at Q2 and SEK 65m a year ago; cash SEK 272m (~$27.4m), -34% YoY; bank debt SEK 998m (~$100.4m), +54% YoY, funding advances to owners. Facility renewal/upsizing needed before year-end settlement. governance
- **Sports share loss admitted for H1-26** with no Q3 market data; a World Cup quarter still produced -9% group sport NGR and the report does not mention the tournament. structural
- **Swedish casino turned negative (-5.5%)** after +9% in H1 — the only domestic growth product has rolled over, leaving group casino growth entirely Danish and at near-zero implied margin. watch
- **Governance and execution churn:** three CEOs in 2026, two reorganisations, a subcontractor data breach under investigation, and a new CEO (Anna Romboli) only arriving in December — strategy reset risk on top of operational risk. governance
- **International turnover growth stalled to +0.6%** (from +13% in Q2) and retail NGR fell 16.5%; the two offsets to Swedish digital horse weakness both weakened in the quarter. watch

6 FORECAST & OUTLOOK

Guidance bridge. ATG issues no numerical guidance, so there is no formal bridge to reconcile: the Q2 report's outlook language (disposable income as the long-run driver; the 2024 gambling-tax hike as a structural drag) is repeated verbatim. What changed qualitatively is (i) a new Q4 cost item — autumn restructuring charges, unquantified — flagged by the parent/Swedish division, which is also the division driving the earnings decline (parent EBIT -11.4% vs group -9.7%); (ii) the V75 relaunch on 28 Nov, which management will 'monitor closely' rather than quantify; and (iii) Finland start-up costs ahead of a 1 Jul 2027 launch. Our bridge below is therefore FY25 actual to FY26 estimate, built from the 9M actuals plus our Q4 assumptions.

FY2025A OPERATING PROFIT (EBIT)	9M-26A EBIT	Q4-26E EBIT (OUR ESTIMATE)	FY2026E EBIT (OUR ESTIMATE)
SEK 1,544m (~$155.3m)	**SEK 1,079m (~$108.6m)**	**SEK 385–410m (~$38.7–41.2m)**	**SEK 1,465–1,490m (~$147–150m)**
margin 25.9%	-2.4% YoY; Q4-25A base SEK 439m	-7% to -12% YoY; incl. assumed SEK 20–40m restructuring charge	-3.5% to -5% YoY; margin c.25%

Independent view. Revenue: we model Q4-26 group NGR of c.SEK 1,350m (~$136m), -2.5% YoY, assuming Swedish NGR -5% (c.SEK 1,230m — a modest improvement from -7% as comps ease and the last five V75 Saturdays add some reactivation) and Danish NGR +35% (c.SEK 123m). That puts FY26E NGR at c.SEK 5,110m (~$514m), -2.5%, and total revenue at c.SEK 5,840m (~$588m), -2%. **Margin:** Q4 is seasonally the strongest revenue quarter (Q4-25 EBIT SEK 439m, 27.7% margin), but we deduct an assumed SEK 20–40m of autumn restructuring charges (not disclosed; our placeholder) and higher Finnish start-up opex, giving Q4-26E EBIT of SEK 385–410m and FY26E EBIT of SEK 1,465–1,490m, roughly -4% YoY at a c.25% margin (25.9% FY25); FY26E EBITDA c.SEK 1,710–1,735m (~$172–175m). Net profit is not meaningful at group level because the year-end group contribution to Svensk Travsport (FY25 SEK 1,615m / ~$162.5m) and its tax effect run through equity; parent PBT of SEK 1,084m at 9M (-3.4%) points to a **lower FY26 contribution to the owners than FY25**. **Leverage:** bank debt should stay near SEK 1.0bn (~$100m) into year-end because the owner advances (SEK 1,330m) are settled by the group contribution rather than in cash; with only SEK 15m undrawn, a renewed or larger facility before the Q4 distribution cycle is the key balance-sheet event — net bank debt/EBITDA stays well under 1x either way. **2027 swing factors:** the V75 reception (a return to flat Swedish horse turnover from -6% is worth c.SEK 150–200m of NGR, our estimate), whether the Swedish sport/casino declines are cyclical (disposable income) or share loss, Finnish launch costs in H1-27 with revenue only from July, DKK/SEK, the incoming CEO's strategy reset from December, and any political movement on the 22% gambling tax that ATG keeps lobbying against. Our bias is that Q4 prints another mid-single-digit NGR decline and that FY27 is a transition year in which V75 stabilises horse but Finland and the cost programme's execution dominate the EBIT bridge.

What to watch next quarter:

- V75 relaunch (28 Nov): Saturday turnover vs the V85 run-rate, Q4/Q1 NPS, and whether Swedish horse turnover moves from -7.5% toward flat.
- Size of the Q4 restructuring charge and tangible delivery against the SEK 300m (~$30.2m) three-year efficiency programme (opex/revenue was +230bps YoY in Q3).
- Credit-facility renewal/upsizing — undrawn lines were SEK 15m (~$1.5m) at 30 Sep — and the FY26 group contribution to Svensk Travsport vs FY25's SEK 1,615m.
- Spelinspektionen Q3 market data: Swedish sports-betting share trend after the admitted H1 loss, and whether Swedish casino (-5.5%) keeps contracting.
- 25syv profitability disclosure (none today; implied non-parent EBIT SEK 5m) and DKK/SEK translation into the FY.
- Hippos ATG Oy: Finnish start-up opex through H1-27, product scope (pool vs fixed-odds), and partner/JV economics ahead of the 1 Jul 2027 opening.
- Anna Romboli's first strategic statements after taking office in December — horse-first strategy, owner payout policy, marketing intensity.
- Regulatory outcome of the subcontractor data breach (IMY/Spelinspektionen) and any sanction.

DATA CONFIDENCE: HIGH FX: USD/SEK 9.94 as of 23 Oct 2026 (Riksbanken fix 9.9446; Investing.com close 9.9303). All reported figures are taken directly from ATG's Jan–Sep 2026 interim report (Swedish PDF, published 23 Oct 2026, unaudited) and cross-checked against ATG's press release of the same date and Finwire/Börsvärlden and hurbra.se write-ups; QoQ comparisons use the Jan–Jun 2026 interim report (English). HIGH confidence on company-reported numbers. MEDIUM on derived items we calculated (FCF, net bank debt, ND/LTM EBITDA, takeout proxy, NGR per active, implied non-parent EBIT, Finland JV loss at 100%). Not disclosed by the company and therefore not verified: marketing spend, numeric market shares, Danish segment profit, the size of the Q4 restructuring charge, local-currency Danish growth; headcount reductions (c.25 + c.30 roles) are from secondary press only; the Gaming Intelligence article body is paywalled (headline figure only used). Q4-26 and FY26 figures are our estimates. Fiscal year end 31 Dec; FY26 report due 12 Feb 2027.

Sources: [Primary] ATG — Delårsrapport 1 januari–30 september 2026 (Q3 interim report, Swedish PDF, published 23 Oct 2026) — PRIMARY; [Primary] ATG — press release 'ATG håller kursen och expanderar österut', 23 Oct 2026 (Mynewsdesk) — PRIMARY; [Primary] ATG — Interim Report 1 January–30 June 2026 (Q2, English PDF; QoQ figures, SEK 300m cost programme) — PRIMARY; [Primary] ATG — Finansiella rapporter (report index, omatg.se) — PRIMARY; [Secondary] Gaming Intelligence — 'ATG posts lower revenue and income for Q3', 23 Oct 2026 (paywalled; headline NGR only) — secondary; [Secondary] Börsvärlden / Finwire — 'ATG minskade nettospelintäkterna och rörelseresultatet i tredje kvartalet', 23 Oct 2026 — secondary corroboration; [Secondary] hurbra.se — 'ATG rapport Q3 2026: Casino växer i Danmark men backar i Sverige', 23 Oct 2026 — secondary corroboration; [Secondary] atg.se — 'V75 tillbaka på lördagarna – premiär 28 november', 17 Sep 2026 (search snippet) — secondary; [Secondary] iGaming Business — 'Hippos ATG announces Finland licence ahead of market launch', Oct 2026 (search snippet) — secondary; [Secondary] Travronden — ATG varsel coverage (c.25 roles spring; further roles autumn 2026) (search snippets) — secondary; [Secondary] dollar.nu — USD/SEK Riksbanken fix 23 Oct 2026 (9.9446) — secondary (FX); [Secondary] Investing.com — USD/SEK historical data (23 Oct 2026 close 9.9303) — secondary (FX).

Research analysis only — not a rating, price target, or personalised investment advice. Prepared for internal executive review.